

Why Hasn't The Economy Collapsed... Yet?

Video Workbook

Your Guide to Understanding Market Dynamics

A companion resource for educational purposes

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This workbook is for **educational purposes only** and does not constitute financial advice, investment advice, trading advice, or any other sort of advice. You should not treat any of the workbook's content as such.

The content is based on publicly available information and educational materials. Always consult with a qualified financial advisor before making any investment decisions.

Past performance is not indicative of future results. Investing involves risk, including the possible loss of principal.

Key Concepts from the Video

Understanding these ideas will help you make sense of what's happening in today's markets.

1. The Market Paradox

Right now, something unusual is happening: the stock market is near all-time highs (around 6,800 points) while unemployment is rising (4.6%, the highest in four years). Usually, when more people lose jobs, the market goes down. This backwards situation suggests something artificial is keeping markets elevated.

2. The Three Pillars Holding Up the Market

Think of the market like a roof held up by three pillars:

- **Pillar 1: Fed Rate Cuts** – The Federal Reserve has cut interest rates three times to make borrowing cheaper
- **Pillar 2: AI Stock Concentration** – Just 7 companies out of 500 are responsible for most market gains
- **Pillar 3: Government Deficit Spending** – The US government spends \$2 trillion more each year than it earns

3. The "Medicine for a Sick Patient" Analogy

The Fed is like a caring parent giving medicine to a sick child. Rate cuts are the medicine—but remember, you give medicine because someone is sick, not because they're healthy. The economy is getting help because it needs it.

4. The Heavy Backpack Analogy

Imagine a backpack with 500 books, but only 7 books are heavy. Those 7 heavy books (Nvidia, Microsoft, Apple, Google, Amazon, Tesla, Meta) make the whole backpack seem heavy. That's the stock market today—if those 7 companies stumble, the whole market could fall.

5. The Wealth Transfer

When inflation runs at 2.9% and your savings account earns 1%, you're losing money every day without seeing it leave your account. Over 10 years, \$100,000 in cash can lose \$25,000 in purchasing power. Meanwhile, asset owners see their wealth grow. This is how money quietly moves from cash holders to asset owners.

6. Historical Pattern Recognition

Similar situations happened before: 1970s stagflation (market fell 50%), 2000 dot-com bubble (NASDAQ fell 78%), 2008 housing crisis (market fell 60%). The pattern: artificial support → markets rise while fundamentals weaken → reality eventually returns.

7. The Selling Rulebook Concept

Most people focus 100% on what to buy. That's backwards. The real skill that separates successful investors from the rest is knowing *when to sell*. Rules remove emotion from investing decisions.

8. Diversification Principle

"Don't put all your eggs in one basket." If you're 100% in AI stocks and that bubble bursts, you lose everything. Spreading investments across different types of assets (stocks, bonds, cash, real assets) means if one area drops, you're not wiped out.

Reflection Questions

Take time to think about how these concepts apply to your own situation.

1. What percentage of your current investments are in cash versus other assets (stocks, bonds, real estate)?

2. Looking at your portfolio, are you heavily concentrated in any single sector (like technology or AI stocks)?

3. Which historical crisis (1970s stagflation, 2000 dot-com, 2008 housing) most resembles today's situation in your view? Why?

4. Do you currently have rules for when to sell an investment, or do you make decisions based on how you feel?

5. If the market dropped 20-30% tomorrow, would you panic sell, hold, or buy more? What determines your answer?

6. Do you have an emergency fund separate from your investments? How many months of expenses does it cover?

7. How would a 3% annual inflation rate affect your current savings over the next 10 years?

8. What's your current strategy for protecting your purchasing power against inflation?

More Reflection Questions

9. Have you ever let a winning investment turn into a losing one because you didn't take profits? What happened?

10. What warning signs mentioned in the video (rising inflation, rising unemployment, bank stress, AI earnings) are you currently watching?

11. On a scale of 1-10, how prepared do you feel for a potential market correction? What would increase your score?

12. What's one action from this video you can take this week to improve your financial position?

Key Takeaways Checklist

Based on the 6-step action plan from the video. Check off items as you complete them.



Step 1: Audit Your Portfolio

Write down: How much in cash? Stocks (which sectors)? Bonds (what duration)? Real assets? Get a clear picture of where you stand.



Step 2: Identify Concentration Risks

Red flags: More than 40% in any single sector, 100% cash position, all long-duration bonds, no diversification.



Step 3: Rebalance Toward Diversification

Start shifting gradually—direction matters more than perfection. Spread across different asset types and sectors.



Step 4: Implement Selling Rules

Write down your rules and set alerts. Consider: partial profits at gains, stop-losses, quarterly rebalancing.



Step 5: Build Cash Reserves (10-15%)

Purpose: Emergency fund to prevent panic + opportunity fund to buy during market dips.



Step 6: Keep Learning

Stay informed on Fed policy, watch warning signs (inflation, unemployment, banking sector, AI earnings).

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The 5 Selling Rules Summary

Reference these rules when making investment decisions. Rules remove emotion.

Rule	What It Means
1. Partial Profits	When a position gains 20-25%, consider selling half to lock in profits while letting the rest continue to grow.
2. Protect Winners	Never let a winning position become a loser. If up 30%+, set a stop-loss at your break-even point.
3. Watch Fed Signals	Adjust your stock/bond mix based on whether the Fed is supportive (rate cuts) or restrictive (rate hikes).
4. Quarterly Rebalance	Every 3 months, check if your allocation drifted from your target and adjust. This forces "sell high" discipline.
5. Cut Losses Fast	If a position drops 7-10% with no clear recovery catalyst, consider selling to redeploy capital elsewhere.

Remember: These are educational concepts, not personalized advice. Your specific situation may require different approaches. Always consult with a qualified financial professional.

Notes Section

My biggest insight from this video:

Questions I still have:

Changes I want to make to my financial approach:

Additional notes:

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Free Live Training Available

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